

The determinants of micro-credit uptake by Small and Micro Enterprises (SMEs) in UAE

Keywords: [*Micro-Credit, microenterprises, supply chain, Entrepreneurship*]

Abstract

The main objective is to assess the determinants of micro-credit uptake by Small and Micro Enterprises (SMEs) in UAE. The specific objectives were to assess the impact of micro-credit interest cost, financial management skills, micro-credit repayment duration and micro-credit terms on the uptake among the SMEs in UAE. A descriptive research design was used for this investigation. SME owners and supervisors made up the research population. The SMEs in UAE serve as the study's sample frame. To organize the sample population, the study was focused on one owners/managers for the SMEs, this being the unit of observation. Consecutive sampling was done. This research employed primary data, which was gathered through organized surveys. Using the statistical package for social sciences, descriptive statistics was used to assess the quantitative data in this study (SPSS). Mean, frequency, standard deviation, and percentages are examples of statistical techniques that should be recorded in order to characterize population sample and significant trends arising from the data.

There is a significant correlation between micro-credit interest cost, financial management skills, micro-credit repayment duration, micro-credit terms and uptake of micro-credit among the SMEs in UAE. The correlation values were between 0.363 and 0.742, with all the factors hypothesized relationships being 0.000.

The research could inform micro-credit providers in UAE on the key factors that influence SMEs' uptake of micro-credit. This could help providers design products that are more attractive to SMEs, and tailor their services to better meet the needs of SMEs. The research could have broader economic implications for UAE. By improving access to micro-credit for SMEs, the research could support the development of small businesses and help create jobs, which could have a positive impact on economic growth and poverty reduction in the country. Future

research could conduct longitudinal studies to examine how the determinants of micro-credit uptake by SMEs in UAE change over time. Other researchers could conduct comparative studies between UAE and other countries. Future research could use qualitative methods to explore in-depth the specific factors that influence SMEs' uptake of micro-credit.

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Chapter 1: Introduction

1.1 Background of the study

Small and medium-sized businesses are essential to the development of the UAE economy. 50% of the new employment produced in 2015 were contributed by SMEs. Studies from the past indicate that SMEs contribute 18 percent of the country's GDP. For their operating and investing requirements, SMEs have a constrained number of official financial institutions to choose from (Bowen et al., 2009). Because of their high default rates, the majority of commercial organizations do not provide loans to SMEs, which makes it challenging for creditors to determine the sustainability of their businesses. Small- and medium-sized enterprises (SMEs) often fail because they invest in the incorrect kinds of businesses and lack business management skills.

For economically engaged yet financially strapped and vulnerable individuals, microcredit may be a significant instrument for alleviating poverty (Waari & Mwangi, 2015). With the help of microcredit, small and medium-sized companies are able to get the capital they need to launch their operations. An often-cited aspect in SME expansion is the ease with which small businesses may get credit (Munoz et al., 2015). SMEs benefit greatly from access to credit since it increases their revenue, which in turn reduces poverty and generates new jobs. As a subset of microfinance, microcredit goes beyond the provision of financial leverage to also provide beneficiaries access to other, additional benefits (Mahmood & Rosli, 2013).

The terms "micro," "small," and "medium" firms are used differently in UAE. Since they frequently operate in the outdoors, they are considered to be in the informal sector (*juakali*). The industry offers work chances to the youthful generation, which is unemployed and unable to obtain career in the official sector. The industry is now receiving a lot of attention from the

government since it offers a viable alternative to the detrimental rates of young unemployment. In the history, UAE's policy interventions have acknowledged informal businesses as more than a relegated source of employment for the support of impoverished families.

The implications of the ostensibly high interest rates often levied by microfinance organizations (MFI) providing cash to the poor have been a source of worry for regulators. High rates of interest may reduce the surpluses that borrowers produce, leaving them with little net benefit. Furthermore, there is worry that increasing rates would result in less demand for the use of financial products. According to Mahmood and Rosli (2013), excessive borrowing costs may compromise "the initial goal of the drive for microfinance" in areas where these consequences are seen. Although experts concur that higher rates of interest logically make it harder for the poor to payback microcredit, there is no proof of these impacts in reality, and there hasn't been much study conducted in this area.

The capacity of a prospective applicant to get loans from a certain financial institution or marketplace is known as credit consumption. The demand for credit depends on many factors, including collateral, financial stability, liquidity, the applicable interest rate, and the borrower's capacity to meet the obligations of the financial institutions. These are the primary variables influencing credit institutions loan acceptance (Kidali, 2020). One of the factors that the government came up with to facilitate uptake was the capping law. Having access to credit is essential for small scale enterprises for their growth and sustainability.

Small scale enterprises, in UAE experience issues in development because of absence of back. They scarcely develop past start-up stage, others leave business at an early stage (Berger 2006). Despite the significance of small-scale firms to the UAE economy, three out of every five businesses fail during the first three years of existence, according to Sessional Paper No. 2 of

2005 (RoK, 2005). Failure of small businesses causes the loss of employment, which increases job insecurity, reduces economic flexibility, and slows economic development (OECD, 2009). Failure of small scale enterprises has been linked to the failure of access credit from microfinance institutions. There might be numerous credit requirements which the small scale enterprises are not able to meet.

Despite the important role that SMEs play in UAE's economy, the sector faces obstacles that prevent it from reaching its full capabilities. Due to high rates of poverty, high rates of unemployment and joblessness, a lack of security, and a poor credit history, micro-lending offers loans to Customers (Mahmood & Rosli, 2013). Credit is essential for the expansion of SMEs. For the SMEs to be able to maintain their enterprises, they need both financial and non-financial services. To keep their operations successful, SMEs require knowledge of corporate administration on how to prudently invest utilizing the loans provided.

According to Onchiri (2012), a common cause of why many individuals in developing nations continue to live in poverty is a limited access to finance. As more college graduates turn to founding small enterprises to put the skills they have learned from their schools to use, the demand for finance by UAE's SMEs has increased. SMEs suffer shortcomings and limitations that prevent them from reaching their maximum ability. The second-most often stated barrier to the expansion of SMEs in developing nations is accessibility to financing, which is important amongst businesses (World Bank, 2019).

Researchers in UAE have conducted a number of research on microfinance services. Gitonga (2012) conducted research on micro-crediting for those with low incomes. In spite of overcrowding in the official sector, the research revealed that lending has been increasing since 2006. More individuals are taking out loans to establish small businesses, which is contributing

to the creation of informal employment. Wachira (2012) noted that since microcredit organizations charge such significant interest rates, the majority of microbusinesses have lower sales and profitability. An investigation into the factors that determine whether microcredit is provided to women business people by MFIs in UAE revealed that poor product development by MFIs, a lack of independence and negotiating control on the part of women, and the condition of women as subordinates in resources planning were the factors that had the biggest impact (Onchiri, 2012).

However, the majority of these research had quite limited samples and had a narrow emphasis. As a result, there have been few studies that can be used to understand how SMEs utilize microcredit. Based on this assumption, this research aims to close the gap by examining the factors that influence SMEs' utilization microcredit by employing a representative national sample that spans a variety of sectors.

1.2 Aims and objectives

1.2.1 General objective

The main objective is to assess the determinants of micro-credit uptake by Small and Micro Enterprises (SMEs) in UAE.

1.2.2 Specific objectives

- i. To assess the impact of micro-credit interest cost on the uptake among the SMEs in UAE
- ii. To determine the effect of financial management skills on the uptake among the SMEs in UAE
- iii. To determine the impact of micro-credit repayment duration on the uptake among the SMEs in UAE.
- iv. To examine the influence of micro-credit terms on the uptake among the SMEs in UAE

1.3 Research approach

The overarching aim of the proposed study is to establish the determinants of micro-credit uptake by Small and Micro Enterprises (SMEs) in UAE. The research assessed whether micro-credit interest cost, financial management skills, micro-credit repayment duration and micro-credit terms significantly influence the uptake among the SMEs in UAE as these factors have been shown to be significant in other contexts. Since the SMEs considered are located in UAE, the study's geographic scope was restricted to the country borders. It was a quantitative study that uses a deductive methodology. In line with the goals of the study, testable assumptions (study hypotheses) were first constructed from the prior literature.

The empirical phase of the data collection was done once the hypotheses have been developed in the second chapter of the study. The research population consisted of SME owners and managers. The study targeted to have 200 participants who was included in the study using consecutive sampling. It was an online survey research study in which the data was collected using a structured self-administered questionnaire. Data analysis was done using SPSS software. Pearson's correlation coefficient and linear regression analysis tools was used to test the proposed hypotheses. The findings of the study were presented in tables, charts, and graphs. The findings were discussed in the context of prior research findings before conclusions are drawn in the study.

1.4 Strategic Project outline

This study was divided into five chapters with the following main contents.

Chapter One is the introduction. It mainly analyzes the background of this study, the purpose and significance of the study, and the current status of domestic and international research.

Chapter Two presents the conceptual definition and theoretical foundations. The former is an analysis of the core concepts involved, while the latter is a discussion of theories regarding effective teaching competencies, making this study more scholarly.

Chapter Three deals with the research methodology. The data measurement tools applied to, and model variables, and data sources are described in detail.

Chapter Four then covers the data analysis. It mainly includes demographic profile, descriptive statistics, correlation analysis to provide information analysis for the conduct of this study.

Chapter Five then concludes. The main content is the summary, analysis and outlook of this study.

Chapter 2: Literature Review

2.1 Introduction

This project is a suggestion for study that will investigate the impact of microcredit interest rates, monetary management expertise, the length of the loan payback period, and the loan conditions on adoption among UAE SMEs. This section combines the different theories and frameworks that academics have created in relation to the various subject-related themes. The literature is taken from academic sources including books, papers, and journals that are authored from scholarly perspectives.

2.2 Theoretical Review

2.2.1 Credit rationing theory

Credit rationing theory was created by Jaffee and Modigliani (1969), who also showed how to extract an operative credit rationing proxy from their work. They came up with ideas like the optimum loan offering slope for a bank, the banker as a discriminating monopolist, the financial institution offering the same interest rate to everyone, and the generalization of different types of clients. Microlenders may use credit constraints to restrict access to microcredit depending on an individual's perceived trustworthiness, as described by Kung'u (2011).

Small businesses rarely apply for microcredit because they don't think they'd be approved. As a consequence, people are unable to get micro loans. When the demand for a credit institution exceeds the supply of credit, as reported by Boucher et al., (2009), constrained microcredit becomes an issue. Because of factors like enterprise size and credit risk, micro credit organizations may choose to limit the portion of micro credit they extend to some small and medium-sized enterprises (SMEs). As a result, SMEs' access to micro credit and their financial results may suffer as a result of credit rationing.

2.2.2 Imperfect Information Theory

Asymmetric knowledge was first introduced by George A. Akerlof in 1970. He noticed that when one side to a negotiation has more up-to-date information than another participant, there is information inconsistency. One side may engage into a negotiation or make expensive judgments as a result of this imbalance. According to George (1970), asymmetric information often occurs in market exchanges. For instance, when deciding whether to borrow money, the borrower typically has more knowledge about his trustworthiness than the lenders.

According to the theory, when a creditor or a buyer has incomplete details, a borrower with poor repayment opportunities or a vendor of low-quality brands may drive everyone else away from their segment of the market, making it difficult for them to engage in exchanges that would be beneficial to both parties. This hypothesis further claims that banks are unable to distinguish between loan applications who pose a high risk and those who pose a low risk. The notion is pertinent to the research since credit scoring procedures and forging good relationships with all important industry players are challenges that financial firms face.

2.3 Micro-credit uptake by Small and Micro Enterprises (SMEs)

The capacity of a prospective applicant to get loans from a certain banking institution or market is known as credit uptake. The demand for credit depends on many factors, including collateral, financial stability, liquidity, the applicable interest payment, and the borrower's capacity to meet the obligations of the financial institutions. These are the primary variables influencing credit institutions lending reception (Micah & Gibbs, 2013). The capping legislation was just one of the strategies the administration used to encourage uptake. Small businesses must have access to capital in order to expand and maintain themselves.

According to Berger et al. (2009), collaterals are furthermore utilized as a strategy to lessen equilibrium credit constraints and other issues brought on by knowledge asymmetry between creditors and borrowers. Berger et al. (2009) point out that if it were feasible to close the knowledge gap between borrowing and lending, the use of collateral would be less common. Additionally, gains in a company's collateral value reduce the credit restriction that the company is under, allowing the company to borrow more money (Chen et al, 2006). Berger et al. (2011) remarked that the "risk-shifting" or "loss mitigation" effects for liquid assets and the "creditor selection" impact for non-divertible collateral seem to be particularly significant for outside collateral.

Elsas and Krahnen (2002) discovered that internal collaterals serve as effective monitoring tools as well as defining lenders' priorities with regard to a company's future cash flows. According to Cadot (2011), contractual collaterals may cause the bank to scale back its monitoring efforts even while they may lower the risk of entrepreneur overvaluation and, therefore, the likelihood of repayment failure. Collateral has long been among the most often utilized provisions in debt contracts that affects how the loan is repaid. The SMEs loan money seriously since they are aware that if they break the laws, they risk losing valuable assets that might cause them to suffer severe financial hardship.

2.4 Review and Hypothesis Development

2.4.1 Micro-credit interest cost & uptake in SMEs

According to Rosenberg, Gonzalez, and Narain (2009), throughout the last 20 years, organizations that provide microfinance services to low-income consumers in underdeveloped and emerging markets have prioritized imposing borrowing costs that are sufficient to cover all

of their expenses while still generating a profit. They contend that this is the best way to assure the long-term viability and growth of the solutions they offer and to deal with the issue of administrative expenses, which are naturally greater for microcredit than for conventional bank lending. As a result, microfinance organizations that can ensure their consumers' financial well-being must pay much higher interest charges than traditional banks.

According to Ingram (2011), interest rates matter because they regulate the economy's access to credit. Inflation is reduced by high interest rates, while economic growth is stunted. The economy benefits from lower interest rates, but inflation is a risk. As it becomes more challenging to repay bank loans, borrowers become less likely to make large purchases of real estate when interest rates are higher. Furthermore, the inverse is also true. With a reduced cost of borrowing, the economy benefits, and so do consumers. Individuals are more likely to borrow money from the bank to cover expenses when loan charges are lower.

People's purchasing power increases when they are freed from the burden of paying as much toward banking expenses. In times of lower interest rates, these impacts, even though not direct, are sufficient to boost the market. Creditors suffer when interest rates are so low because their return on investment is lower than it would be once rates are higher. As a result, banks may have to reduce the interest they pay on deposits in order to keep their profits stable.

Compartamos, the largest microlender in Latin America, has studied the effect on desire for lowering interest rates by 10%. According to the results, both existing and potential borrowers are price sensitive when it comes to loans. Moreover, we demonstrate that the demand's elasticity rises with time and that reduced borrowing costs promote financial inclusiveness by drawing in additional borrowers (borrowers become more sensitive to pricing

over time). These issues was addressed by empirically testing the following hypothesis as supported by the research evidence:

H1: There is a significant correlation between micro-credit interest cost and uptake of micro-credit among the SMEs in UAE.

2.4.2 Financial management skills & uptake in SMEs

The major features of a country's economic progress and progress are aided by its small and medium-sized businesses (SMEs). Reasonable financial management techniques are widely acknowledged as the fundamental ingredients for the profitable growth and sustainable operation of a small or medium organization. Karadag (2015) found that while SME's face a lot of hurdles, the most significant factors in their slow development and eventual demise are those related to inadequate financial planning.

Business owners with higher levels of financial literacy are more likely to employ debt financing because they are better able to manage their money and make sound financial decisions. Businesses may expand and perform better with the support of financial literacy training like debt management, savings, scheduling and record keeping, which are all available to company owners who take out loans.

Lack of a solid financial foundation is a common issue for small businesses. Most owner-managed firms have limited accessibility to cash beyond what they can raise via the stock markets, and in the early phases of operation, it may be difficult for owners to accumulate revenue buffers. In such a precarious financial climate, how can small firms identify potential funding sources?

Komitu (2019) investigated the factors that affect the use of financial loans by women-owned self-help group (SHG) initiatives. The study was conducted utilizing a survey method for descriptive research. An intended sample of 115 respondents was used. The results showed that the SHG participants' degree of knowledge and training had an impact on their use of monetary credit. It was also shown that a significant barrier to women obtaining financial credit was a lack of skills, poor educational levels, ignorance of training on SHG issues, and little or no schooling. The results also showed that socio-cultural practices including patriarchy, belief systems, and attitudes of women's household roles were important factors of obtaining financial loans. Additionally, it was shown that the use of financial credit was hampered by an insufficient financial knowledge. Overall, the findings in the extant literature indicate that financial management skills correlates with uptake of micro-credit in firms. The findings are thus the foundation for the following hypothesis:

H2: There is a significant correlation between financial management skills and uptake of micro-credit among the SMEs in UAE.

2.4.3 Micro-credit repayment duration & uptake in SMEs

If the microlending network is well-developed, small and medium-sized enterprises (SMEs) was able to have access to inexpensive credit services (Alhassan & Hoedoafia, 2016). According to Bragg (2010), "the short period frame lessens the lender's probability of non-repayment, that can fairly be confident that the lender's earnings will not decrease so much within such short span of time that it is unable repay loans," all while shielding the lender from lengthy fluctuations in the interest cost.

A loan's term may be set at the borrower's discretion; nevertheless, short-term loans are frequently employed by small businesses. Repayment terms that stretch over many years appeal to startups and growing businesses since their profits are expected to climb gradually. Term loans are an excellent source of rapid funding for expanding a company's supply chain. Some startup businesses may utilize their first term loan to finance the purchase of company cars or the lease of additional office space.

Micro-credit corporations have a very lengthy loan payback term, which is a major draw for small businesses seeking capital. (Sileshi et al., 2012) conducted research in Ethiopia to determine what variables influence the efficiency with which small holders repay their loans. We learned that microenterprises in the study region get credit from a mix of institutional and informal sources.

The capacity to secure short-term funding from other avenues and a two-year operational experience are two of the most important factors that lenders consider when deciding whether or not to provide a loan to a small company, as stated by research by Oke et al. (2007). The majority of loan providers want small company owners to either submit a loan request or a loan proposal. An in-depth business strategy, together with precise financial documents for the firm and the owner personally, should be part of the package presented to a possible lender.

Overall, there are few studies that have looked at the direct impact of micro-credit repayment duration. This is particularly true for research within UAE. However, the findings in the extant literature allow this issue to be remedied by testing the following hypothesis:

H3: There is a significant correlation between micro-credit repayment duration and uptake of micro-credit among the SMEs in UAE.

2.4.4 Micro-credit terms & uptake in SMEs

The demand for borrowing and the capacity of microfinance organizations to issue credit will determine the actual quantity of loans disbursed. SMEs with a higher likelihood of future profitability are more prone to get loans from microcredit. Gichuki, Njeru, and Tirimba (2014) conducted a study to determine what prevents small and medium-sized businesses from obtaining credit operations in Nairobi's Kangemi Harambe Market. The report's goals included evaluating the implications of collateral requirements on getting credit, examining how credit costs affect SMEs' access to financial services, determining the impact of knowledge accessibility on MSEs' exposure to borrowing amenities, and identifying the effects of business threats on MSEs' exposure to credit infrastructure. The research design used in the study was descriptive. According to the report's results, only a small percentage of participants can obtain credit services, leaving more than half of them without access.

Maluga (2019) found out that interest rates had great effect to the level of credit uptake by SMEs and that if the interest rates were high then the uptake was low, credit payment duration affected the repayment rate of uptake; if the duration was longer then SMEs would opt for credit uptake than MFIs which offered short repayment period. Further, the study revealed that collateral requirement was a major hindrance to SMEs taking up the loans. The study recommended that there is a need to develop strategies to enhance increased access to microfinance credit for small scale enterprises from commercial banks and other financial institutions. It is evident that there have been very few studies on this issue particularly in the context of SMEs in UAE. This issue was remedied by testing the following hypothesis:

H4: There is a significant positive relationship between micro-credit terms and uptake of micro-credit among the SMEs in UAE.

2.5 Chapter Summary

This chapter of the research study has entailed an exhaustive literature review of the relevant theories, concepts, and empirical research to lay out the theoretical basis for this thesis. The variables of the study have been defined, conceptualised, and expounded on based on prior research literature. The hypotheses that was tested in this study have also been developed in this chapter based on the prior literature.

Chapter 3: Methods and methodology

3.1 Introduction

The previous section of this research expounded on the literature review performed as part of this research project. The purpose of this section is to discuss and justify the methodology applied in the project to facilitate empirical data collection. The section covers the research design, sampling design, questionnaire design, data collection procedures, and data analysis procedures used in the study.

3.2 Research approach design

Research methodology is the framework and approach guiding research (Sönmez, 2013). Important considerations are the research method (overriding approach) and the research design (specific strategy) that a researcher adopts. The paradigm that was selected for this research is the positivist paradigm of research philosophy. The paradigm holds that the only reality or knowledge that truly exists is that which can be tangibly measured (Alharahsheh & Pius, 2020). Only basing knowledge on observable and measurable facts is appropriate for this study as it promotes objectivity in research. This makes the paradigm the most suitable for this research.

Under research methods, the key considerations are the quantitative method, qualitative method, and mixed methods. The quantitative method centres on primary data collection that can be readily analyzed using mathematical tools such as numeric or structured data (Sileyew, 2019). The qualitative method centres on the collection of data that is neither numeric nor structured, while the mixed methods research methodology centres on the collection of both types of data. In this study, the quantitative method was used. The quantitative method is preferred because it confers higher generalizability to the findings of the research (Sönmez, 2013). It is also more

suited where there is sufficient prior research to form the theoretical basis for the present study. The study adopted the deductive approach under the positivist paradigm of research.

The descriptive cross-sectional research design was used in this research to guide the overall data collection and analysis. This design is under the quantitative research methodology, appropriate for research where hypothesis testing is to be conducted (Bloomfield and Fisher, 2019). The design is suitable for research that includes Hypothesis testing. Since this research tests hypotheses, the descriptive cross-sectional survey design under the quantitative research methodology is suitable. The survey strategy was adopted in this research because it facilitates rapid and cost-efficient data collection from large groups of participants. Since there is sufficient prior research to formulate hypotheses, the deductive approach was taken in this study.

3.3 Sample selection and size

In research, population refers to the entities a researcher intends to learn about (Acharya et al., 2013). The population of interest in this study is owners and managers of SMEs in UAE. The number of SMEs owners and managers in UAE is not statistically defined.

Researchers use many ways to estimate suitable sample sizes, from adopting the sample sizes used in prior studies to a myriad of formulas proposed to estimate the suitable sample size. In this study, the recommendations of other researchers were used because the population of the study is not well defined in the national statistics. Comrey & Lee (1992) suggested the number of respondents for quantitative studies using inferential analysis. A sample size of 500 participants is very excellent; 300 participants are great, 200 participants are adequate, 100 participants are poor, and 50 participants are weaker, according to their ratings of sample sizes.

Based on these recommendations, this study sought to include over 200 participants. There are primarily two categories of sampling techniques: probability sampling techniques and non-probability sampling techniques. Probability sampling techniques are underpinned by the theory of probability and the concept of random selection resulting in samples that tend to represent the population from which the sample is derived (Yadav et al., 2019). Simple random sampling, cluster sampling, stratified random sampling, and systematic sampling are common examples of probability sampling techniques.

Non-probability sampling, on the other hand, is not based on the theory of probability. The samples that emerge from using non-probability sampling techniques such as convenience sampling, purposive sampling, and quota sampling tend to be unrepresentative of the target population from which they are derived. Probability sampling techniques are regarded as good in research as they enhance the generalizability of findings (Yadav et al., 2019). However, using them in studies can be challenging, such as where the population is not well defined or is in diverse locations, which was the case for this study. Non-probability sampling was used in this study because the population of the study was widespread, and using probability sampling would have been feasible. Convenience sampling was thus used in the study, with the most readily available population members included in the study.

3.4 Instrument Protocol

3.4.1 Data collection process

The data collection for this study was done through an online survey on Facebook from 5th February to 12th February 2023. Facebook was selected as its user base is among the most representative of the country's population. The recruitment of participants commenced in the

study after the ethical clearance has been granted for the study to be undertaken. Facebook pages of SME owners and managers make the best platform for recruiting participants for this research. Permission was sought from administrators of the groups to allow for a post explaining the nature of the study and the profile of the participants being sought to be posted on the pages and groups. The post was made to several groups and pages during the participant recruitment. The study sample was included on a first-come, first-serve basis.

The process aimed for more than 200 participants to be recruited for the research. The participants were given the choice of being sent the questionnaire via email, Facebook or WhatsApp. They were instructed to submit the filled questionnaire within 48 hours of receiving them.

3.4.2 Measurements

The scholar used a systematic survey form to gather information from UAE SME owners. The survey was created to collect the data needed to carry out the research objectives. The questionnaire's first part gathered data about the participants' demographics. The participant's gender, age, number of years operating SMEs, and level of education are considered demographic characteristics. The second section covered aspects of the questionnaire on the level of micro-credit uptake among the SMEs; the third section assessed micro-credit interest cost among the SMEs; the fourth section assessed financial management skills among the SMEs, the fifth section assessed micro-credit repayment duration among the SMEs, while the last section contained information regarding micro-credit terms. The information from the question was analyzed to determine the study's findings. The statements on the factors was close-ended

assessed on a 5-point Likert scale (1= *Strongly Disagree (SD)*, 2= *Disagree (D)*, 3= *Neutral (N)*, 4= *Agree (A)*, 5= *Strongly Agree (SA)*).

Table 3.1 Measurement of variables

Factor	Source(s)	Scale
Level of micro-credit uptake	Seng (2018); Muneer, Ahmad and Ali, (2017)	5-point Likert scale of agreement
Micro-credit interest cost	Seng (2018)	5-point Likert scale of agreement
Financial management skills	Wolmarans & Meintjes (2015)	5-point Likert scale of agreement
Micro-credit repayment duration	Omondi and Jagongo (2018)	5-point Likert scale of agreement
Micro-credit terms	Shu-Teng, Zariyawati, Suraya-Hanim & Annuar, (2015)	5-point Likert scale of agreement

3.5 Analysis of findings

Statistic software analyzed the quantitative data gathered throughout this study. SPSS, or Statistical Product and Services Solutions, version 26.0, was used to analyze the data. The reliability analysis made use of the Cronbach alpha test. A descriptive statistics study was used means, frequencies, standard deviations, and interquartile ranges. Inferential statistics served as the last analysis stage for this study's data. All hypotheses were examined and confirmed using Pearson's correlation evaluation. Based on the results of the inferential assessment, the hypotheses were either accepted or rejected. The Pearson's Correlation Analysis high different high and low correlations, in positive or negative depending on the direction. It is considered as a perfect positive

correlation with the value of +1 and perfect negative correlation with the value of -1. When the value is 0, there is no correlation between them and there is no relationship between the variables.

3.6 Validity and reliability

The researcher understands the need to do a validity assessment; thus, to do so, the study's face and content validity were examined. The validity is attained through pilot studies and analyses that can perform their own face validity. Ten people participated in a pilot study to verify the questionnaire. Subsequently, a reliability analysis utilizing the Cronbach alpha statistic was performed on the acquired data. The supervisor also reviewed the survey to determine its appropriateness for this study.

3.7 Ethics

The requirement for informed consent, respect for all participants, and data protection was the key ethical concerns in this research. As a result, our research considered all pertinent ethical issues. An online form that each respondent in this study must complete and approve before taking part were requested their informed consent.

The study must take into account every ethical issue. The whole study process should be conducted with the respondents feeling at ease. Before participating in the research, the volunteers must sign a permission form. Research initiatives must all take ethical considerations into account. The respondents' interests and well-being must be protected throughout the research, and it must also be made sure that the data collected from them is accurate and reliable. When they feel uneasy completing the survey, individuals were given the option to discontinue.

3.8 Summary

The research approach that the scholar employed to carry out the current study has been described in this section. It examines the research strategy, plan, and methods used in this research. Additionally, it outlines the ethical concerns the research considered. This section is essential because it provides readers with a clear, comprehensive description of the study methodology so they can understand how the findings were generated. The next section goes into great detail on the study findings.

Chapter 4: Findings

4.0 Introduction

Data assessment, results, and explanation are all covered in this chapter. Tables and figures are used to display the findings. This chapter discusses the primary results' descriptive methodology in relation to the test's factors. Inferential analysis was covered in this chapter as well. For this investigation, correlation analysis was employed.

4.1 Demographic Profile

The table below presents the study's results by demographic group.

Table 4.1 Demographic Profile

		<i>Frequency</i>	<i>Percent</i>
<i>Gender</i>	Female	115	65.7
	Male	60	34.3
<i>Age</i>	25-35 years	115	65.7
	36- 50 years	7	4
	Less than 25 years	41	23.4
	More than 50 years	12	6.9
<i>Number of years in SMEs operation</i>	4-7 years	134	76.6
	8-11 years	6	3.4
	Less than 4 years	29	16.6
	More than 11 years	6	3.4
<i>Education level</i>	Bachelor's degree level	112	64
	Certificate level	9	5.1
	Diploma level	25	14.3
	KCSE certificate level	1	0.6
	Master's degree level	28	16

34.3% of the participants were men, whereas 65.7% of the participants were women. In this survey, 65.7% of respondents were between the ages of 25 and 35, while 23.4% were under the age of 25. Over 50 responses made up 6.9% of the total. 4% of the population was between the ages of 36 and 25.

The majority of respondents (76.6%) had worked for SMEs for between four and seven years, while 16.6% had done so for just four years and 3.4% for between eight and eleven. 3.4% of the population has experience spanning more than 11 years. The aforementioned figures show that 64% of respondents said they had a bachelor's degree, 14.3% said they had a diploma, 16% said they had a master's, 5% said they had a primary certificate, and 0.6% said they had a KCSE certificate.

4.2 Descriptive analysis

The mean scores were used in the descriptive statistics. There is a significant degree of agreement among participants on the particular statement if the mean score is large. Using a 5-point Likert scale, the replies were evaluated. The descriptive statistics are shown in the sections below:

4.2.1 Level of micro-credit uptake among the SMEs

The findings on the level of micro-credit uptake among the SMEs are as described in Table 4.2.

Table 4.2 Micro-credit uptake

	N	Mean

I believe that the utilization of microcredit affects employment rates in the SME industry.	175	3.94
I believe that the provision of microcredit influences the expansion of SMEs' sales levels.	175	3.86
I believe that using microcredit has an impact on the growth of SMEs.	175	3.97
I find that approved loans contribute to the expansion of our company.	175	3.99
All credit finances are used only for commercial purposes.	175	3.92

With a mean score of 3.94, the most SME owners/managers agreed that the utilization of microcredit affects employment rates in the SME industry. With a mean score of 3.86, the most SME managers were in agreement that the provision of microcredit influences the expansion of SMEs' sales levels. The majority of SME owners noted that using microcredit has an impact on the growth of SMEs, with a mean score of 3.97. A mean score of 3.99 indicates that the majority of managers are in agreement that approved loans contribute to the expansion of the companies. With a mean score of 3.92, the great majority of SME owners are in agreement that all credit finances are used only for commercial purposes.

4.2.2 Micro-credit interest cost among the SMEs

The assessment of the effects of micro-credit interest cost on uptake among the SMEs is as shown in Table 4.3

Table 4.3 Micro-credit interest cost

	N	Mean
A greater interest rate indicates that our company has limited borrowing ability.	175	3.59
There is little credit taken up by SMEs when interest rates change.	175	3.54

I believe that low-interest costs allow us to borrow money, knowing we can pay it back.	175	3.53
Because of the flexible loan periods and the rates imposed, we spend more money.	175	3.92
I think when there is a limited demand for financing, the fluctuating interest rates make our investments ineffective.	175	3.83

With a mean score of 3.59, the most SME owners/managers agreed that greater interest rate causes limited borrowing ability. With a mean score of 3.54, the most SME managers were in agreement that there is little credit taken up by SMEs when interest rates change. The majority of SME owners noted that low-interest costs allow SMEs to borrow money, with a mean score of 3.53. A mean score of 3.92 indicates that the majority of managers are in agreement that because of the flexible loan periods and the rates imposed, SMEs spend more money. With a mean score of 3.83, the great majority of SME owners are in agreement that when there is a limited demand for financing, the fluctuating interest rates make their investments ineffective.

4.2.3 Financial management skills among the SMEs

The findings on the financial management skills management on uptake among the SMEs are as described in Table 4.4.

Table 4.4 Financial management skills

	N	Mean
Proficiency in financial planning has an impact on how profitable obtaining microcredit is.	175	4.05
Mentoring in financial planning techniques impacts my business's increase in sales through microcredit.	175	4.15

My business's financial success through microcredit was made possible by my finance expertise.	175	3.93
My business's development from microcredit is impacted by learning financial planning abilities.	175	4.11
Learning financial planning techniques impacts how our enterprise's resources expand due to microcredit.	175	3.97

With a mean score of 4.05, the most SME owners/managers agreed that proficiency in financial planning has an impact on how profitable obtaining microcredit is. With a mean score of 4.15, the most SME managers were in agreement that mentoring in financial planning techniques impacts business's increase in sales through microcredit. The majority of SME owners noted that business's financial success through microcredit is made possible by having finance expertise, with a mean score of 3.93. A mean score of 4.11 indicates that the majority of managers stipulated that business's development from microcredit is impacted by learning financial planning abilities. With a mean score of 3.97, the great majority of SME owners stipulated that learning financial planning techniques impacts enterprise's resources expansion due to microcredit.

4.2.4 Micro-credit repayment duration among the SMEs

The assessment of the effects of micro-credit repayment duration on uptake among the SMEs is as shown in Table 4.5

Table 4.5 Repayment duration

	N	Mean
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In my opinion, we don't have time to accumulate calculated profits to make repayments with short loan payback terms.	175	3.93
I believe that extending the payback period allows us to organize our repayment strategies.	175	3.89
Longer payback terms, in my opinion, enable us to establish long-term repayment strategies and, as a result, qualify for credit services.	175	3.51
A long enough payback period allows us to invest more so that we may get additional credit when we pay it back.	175	3.90
In my opinion, we can diversify our investments when we have enough time to prepare how to pay back the loan that has been extended.	175	3.77

With a mean score of 3.93, the most SME owners/managers agreed that they don't have time to accumulate calculated profits to make repayments with short loan payback terms. With a mean score of 3.89, the most SME managers stipulated that extending the payback period allows SMEs to organize repayment strategies. The majority of SME owners noted that Longer payback terms enable SMEs to establish long-term repayment strategies and qualify for credit services, with a mean score of 3.51. A mean score of 3.90 indicates that the majority of managers stipulated that long enough payback period allows them to invest more to get additional credit when paying it back. With a mean score of 3.77, the great majority of SME owners stipulated that they diversify investments when having enough time to prepare how to pay back the loan that has been extended.

4.2.5 Micro-credit terms among the SMEs

The findings on the effect of Micro-credit terms on uptake among the SMEs are as described in Table 4.6.

Table 4.6 Micro-credit terms

	N	Mean
When the security in the form of a request for collateral exceeds what we can pay, we are unwilling to accept that credit.	175	3.87
The collateral needed depends on how much credit is available; therefore, more collateral means more credit for SMEs.	175	3.89
I believe that the conditions of the collateral demand represent the enterprise investment meant to impact credit uptake.	175	3.75
The absence of collateral, in my opinion, most frequently represents the flexibility to seek loans.	175	3.91
The severity of investing among SMEs increases when collateral restrictions influence default probabilities.	175	3.98

With a mean score of 3.87, the most SME owners/managers agreed that when the security in the form of a request for collateral exceeds what SMEs can pay, they are unwilling to accept that credit. With a mean score of 3.89, the most SME managers stipulated that the collateral needed depends on how much credit is available; therefore, more collateral means more credit for SMEs. The majority of SME owners noted that the conditions of the collateral demand represent the enterprise investment meant to impact credit uptake, with a mean score of 3.75. A mean score of 3.91 indicates that the majority of managers stipulated that absence of collateral most frequently represents the flexibility to seek loans. With a mean score of 3.98, the great majority of SME owners stipulated that severity of investing among SMEs increases when collateral restrictions influence default probabilities.

4.3 Correlation analysis

This study used a Pearson correlation to investigate the relationship between Micro-credit interest cost, Financial management skills, Micro-credit repayment duration, Micro-credit terms among the SMEs, and Level of micro-credit uptake. The most useful method for assessing the associations between the variables was determined to be the Pearson correlation scores. From H1 to H4, the associations were computed. In the results, if the p-value becomes less than 0.05, the conclusion is that there is a significant association involving the two factors.

Table 4.7 Pearson correlation analysis

		Micro-credit interest cost	Financial management skills	Micro-credit repayment duration	Micro-credit terms among the SMEs
Level of micro-credit uptake	Pearson Correlation	.555**	.782**	.363**	.742**
	Sig. (2-tailed)	.000	.000	.000	.000
	N	175	175	175	175

H1: There is a significant correlation between micro-credit interest cost and uptake of micro-credit among the SMEs in UAE.

The coefficient of correlation from the results was 0.555, and the resulting p-value is 0.000. This demonstrates the strong and positive relationship between micro-credit interest cost and level of micro-credit uptake among the SMEs. Therefore, enhancing micro-credit interest cost will considerably increase the likelihood of micro-credit uptake among the SMEs.

H2: There is a significant correlation between financial management skills and uptake of micro-credit among the SMEs in UAE.

The findings showed a coefficient of correlation of 0.782, and the resultant p-value is 0.000. This indicates the substantial and favorable correlation between the financial management skills and the level of micro-credit uptake. Hence, increasing the financial management skills will significantly increase the level of micro-credit uptake among the SMEs in UAE.

H3: There is a significant correlation between micro-credit repayment duration and uptake of micro-credit among the SMEs in UAE.

The coefficient of correlation from the results was 0.363, and the resulting p-value is 0.000. This demonstrates the strong and positive relationship between micro-credit repayment duration and level of micro-credit uptake among the SMEs. Therefore, enhancing micro-credit repayment duration will considerably increase the likelihood of micro-credit uptake among the SMEs.

H4: There is a significant positive relationship between micro-credit terms and uptake of micro-credit among the SMEs in UAE.

The findings showed a coefficient of correlation of 0.742, and the resultant p-value is 0.000. This indicates the substantial and favorable correlation between the Micro-credit terms and the level of micro-credit uptake. Hence, increasing the Micro-credit terms will significantly increase the level of micro-credit uptake among the SMEs in UAE.

4.4 Summary

The presentation of the findings and conclusions was a crucial component of the research, and the chapter served as a depiction of the data analysis. This chapter went into great detail on how closely the study's goals and objectives conclusion based on the data that had been collected. Hypothesis testing was done using correlation analysis.

Chapter 5: Summary Conclusion and discussion

5.1 Summary

In the first chapter, the study analyse the background of the study and objectives. SMEs benefit greatly from access to credit since it increases their revenue, which in turn reduces poverty and generates new jobs. To keep their operations successful, SMEs require knowledge of corporate administration on how to prudently invest utilizing the loans provided. A common cause of why many individuals in developing nations continue to live in poverty is a limited access to finance. The capacity of a prospective applicant to get loans from a certain financial institution or marketplace is known as credit consumption. This research aims to examine the factors that influence SMEs' utilization microcredit by employing a representative national sample that spans a variety of sectors. Specifically, the study assess relationship between micro-credit interest cost, financial management skills, micro-credit repayment duration, micro-credit terms and uptake of micro-credit among the SMEs.

In chapter two, theories and frameworks that academics have created in relation to the study were assessed. This study considered Credit rationing theory and Imperfect Information Theory. The variables of the study have been defined, conceptualised, and expounded on based on prior research literature. The following hypothesis were developed based on the literature:

H1: There is a significant correlation between micro-credit interest cost and uptake of micro-credit among the SMEs in UAE.

H2: There is a significant correlation between financial management skills and uptake of micro-credit among the SMEs in UAE.

H3: There is a significant correlation between micro-credit repayment duration and uptake of micro-credit among the SMEs in UAE.

H4: There is a significant positive relationship between micro-credit terms and uptake of micro-credit among the SMEs in UAE.

The third chapter covers the methodology of the study. A descriptive research design was used. The SMEs in UAE serve as the study's sample frame. The study was focused on one owners/managers for the SMEs. Consecutive sampling was done. Using the statistical package for social sciences, descriptive and inferential statistics was used to assess the quantitative data in this study.

The fourth chapter covers the findings of the study. The study revealed that micro credit utilization would be vastly used as capital, which would level up micro-credit uptake among Micro & Small enterprises. Also, there should be balance between interest rates and loan periods, to increase the demand for micro-credits by Micro & small enterprises, which would create utmost good faith. A background in financial management skills for every micro and small enterprise owner would increase efficiency of the micro- credits, due to critical thinking and decision making within the internal controls. On the same, having a longer repayment period of the micro credit would ensure that the micro and small enterprises have sufficient time to organize and make good use of the micro credits, diversifying their investments, which would lead to accumulated profits, enough to repay the micro credit, and qualify for additional micro credit. Even though terms and conditions for requesting micro-credits are crucial towards the going concern of an organization, the limits should be considerate of the risks the micro & small enterprise would be taking, and match the collateral to equitable terms, which would eventually ensure willingness of the micro & small enterprise to engage in and accept the micro credit. Lastly, the correlation analysis variables produce statistically significant values showing a

significant impact on the uptake of the micro credit by increasing levels of utilization, flexible credit interests, being well equipped with financial management skills, increasing the micro credit repayment period, and favorable terms & conditions of engagement.

The fifth chapter covers the summary of the findings, research contributions and limitations & future research recommendations.

5.2 Limitations and Research contributions

The research could inform policy makers in UAE on the most important determinants of micro-credit uptake by SMEs. This information could be used to develop policies that support the development of financial management skills and improve micro-credit terms for SMEs. The research could inform micro-credit providers in UAE on the key factors that influence SMEs' uptake of micro-credit. This could help providers design products that are more attractive to SMEs, and tailor their services to better meet the needs of SMEs.

The research could inform the design of financial literacy programs for SMEs in UAE. By identifying the specific financial management skills that are important for SMEs to successfully manage micro-credit, the research could help design training programs that are more relevant and effective. The research could have broader economic implications for UAE. By improving access to micro-credit for SMEs, the research could support the development of small businesses and help create jobs, which could have a positive impact on economic growth and poverty reduction in the country.

5.3 Future research and development

Without knowing the size of the sample, it is difficult to determine the representativeness of the results. If the sample size is too small, the study may not be generalizable to the larger population of SMEs in UAE. The sampling method used to select SMEs for the study could also impact the generalizability of the results. The study may face limitations where the measures used to assess the determinants of micro-credit uptake (such as micro-credit interest cost, financial management skills, micro-credit repayment duration, and micro-credit terms) are not well-defined or reliable.

Future research could conduct longitudinal studies to examine how the determinants of micro-credit uptake by SMEs in UAE change over time. This could provide insights into how micro-credit providers can adapt their services to meet the changing needs of SMEs. Other researchers could conduct comparative studies between UAE and other countries to identify similarities and differences in the determinants of micro-credit uptake. This could provide insights into how micro-credit providers in UAE can learn from the experiences of other countries to improve their services.

Further, future research could use qualitative methods to explore in-depth the specific factors that influence SMEs' uptake of micro-credit. This could involve conducting focus groups or interviews with SME owners and operators to gain a deeper understanding of their motivations and decision-making processes.

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Programme of work

Task ID	Task name	Oct – Nov 2022	Nov- dec 2022	Jan 2023	Feb 2023	March 2023
1	Project planning					
2	Research proposal development					
3	Literature Review chapter					
4	Methodology chapter					
5	Data collection					
6	Data analysis					
7	Results presentation, conclusion and recommendations					

Questionnaire

Gender

Female

Male

Age

Less than 25 years

25-35 years

36- 50 years

More than 50 years

Number of years in SMEs operation

Less than 4 years

4-7 years

8-11 years

More than 11 years

Education level

KCSE certificate level

Certificate level

Diploma level

Bachelor's degree level

Master's degree level

Indicate the extent to which each of the following statements applies to you. Key; Use a scale of 1-5, where (1= strongly disagree, 2= disagree, 3= not sure, 4= Agree and 5= strongly Agree.

Level of micro-credit uptake among the SMEs

Statement	1	2	3	4	5
I believe that the utilization of microcredit affects employment rates in the SME industry.					
I believe that the provision of microcredit influences the expansion of SMEs' sales levels.					
I believe that using microcredit has an impact on the growth of SMEs.					

I find that approved loans contribute to the expansion of our company.					
All credit finances are used only for commercial purposes.					

Micro-credit interest cost among the SMEs

Statement	1	2	3	4	5
A greater interest rate indicates that our company has limited borrowing ability.					
There is little credit taken up by SMEs when interest rates change.					
I believe that low-interest costs allow us to borrow money, knowing we can pay it back.					
Because of the flexible loan periods and the rates imposed, we spend more money.					

I think when there is a limited demand for financing, the fluctuating interest rates make our investments ineffective.					
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Financial management skills among the SMEs

Statement	1	2	3	4	5
Proficiency in financial planning has an impact on how profitable obtaining microcredit is.					
Mentoring in financial planning techniques impacts my business's increase in sales through microcredit.					
My business's financial success through microcredit was made possible by my finance expertise.					
My business's development from microcredit is					

impacted by learning financial planning abilities.					
Learning financial planning techniques impacts how our enterprise's resources expand due to microcredit.					

Micro-credit repayment duration among the SMEs

Statement	1	2	3	4	5
In my opinion, we don't have time to accumulate calculated profits to make repayments with short loan payback terms.					
I believe that extending the payback period allows us to organize our repayment strategies.					
Longer payback terms, in my opinion, enable us to establish long-term repayment strategies					

and, as a result, qualify for credit services.					
A long enough payback period allows us to invest more so that we may get additional credit when we pay it back.					
In my opinion, we can diversify our investments when we have enough time to prepare how to pay back the loan that has been extended.					

Micro-credit terms among the SMEs

Statement	1	2	3	4	5
When the security in the form of a request for collateral exceeds what we can pay, we are unwilling to accept that credit.					
The collateral needed depends on how much credit is available; therefore, more					

collateral means more credit for SMEs.					
I believe that the conditions of the collateral demand represent the enterprise investment meant to impact credit uptake.					
The absence of collateral, in my opinion, most frequently represents the flexibility to seek loans.					
The severity of investing among SMEs increases when collateral restrictions influence default probabilities.					